

Burgers, Lipstick & Underwear

What Strange Indicators Really Tell Us About the Economy

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Chapter 1 — The Measure You Can Eat

The Big Mac is a ridiculous ambassador for international economics, which is probably why it works.

It is not elegant. It does not have the solemn look of an equation. It arrives in a box, sheds lettuce, smells faintly of industrial certainty and can be eaten by a person who has no desire to discuss purchasing power parity over lunch. Yet for decades it has done something most macroeconomic explanations fail to do: it has made exchange-rate theory digestible in under a minute.

The idea is famous because it is almost offensively simple. If the same product is sold in many countries, compare its price across those countries. Convert the local price into a common currency. Ask whether the result looks cheap or expensive relative to the exchange rate. The Economist has published the Big Mac Index since the 1980s and now maintains public data and calculation code for it, including local prices, exchange rates and GDP-adjusted variants. [1](#)

That does not make the burger a perfect model. It makes it a very good door.

Purchasing power parity is one of those ideas that sounds worse than it is. In plain English, it asks whether money buys the same amount of stuff in different places. If a product costs much more in one country than another after exchange-rate conversion, something interesting may be happening: the currency may be overvalued or undervalued, local costs may differ, taxes may bite, wages may be different, competition may be weak, or the product may simply occupy a different place in local culture.

The Big Mac works because it turns that whole mess into a sandwich.

This is not because McDonald's is economically pure. Quite the opposite. A Big Mac is full of local contamination: rents, wages, advertising costs, supply chains, taxes, market strategy and the strange social role of eating American fast food in a

given city. That contamination is the point. The burger is not a laboratory object. It is a small commercial animal living in the real world.

If the index were a perfect measurement instrument, it would be less interesting. Its value lies in being rough, memorable and surprisingly revealing. It is close enough to the economic idea to teach it, and familiar enough for people to care.

But the same qualities invite abuse.

The first abuse is treating the burger as a currency oracle. A Big Mac price can suggest that a currency looks cheap or expensive against another. It cannot tell a trader what to do on Tuesday morning. It cannot replace a central bank model, a current-account analysis, a productivity comparison or a serious inflation measure. A burger is not a portfolio strategy. Anyone who says otherwise should probably be kept away from both economics and lunch.

The second abuse is pretending the product is identical everywhere in every relevant sense. It is standardized enough to be useful, but not metaphysically identical. Ingredients, taxes, labor costs, regulation, market positioning and local demand differ. In some countries, McDonald's is everyday food; in others, it is a more expensive international brand. A product can be the same menu item and still carry different social meaning.

The third abuse is forgetting coverage. The Big Mac Index only exists where the product exists and where data can be collected. A global index built around one company's sandwich has obvious holes. Those holes do not destroy it. They define its scope.

This is where strange indicators become interesting. The Big Mac Index is not important because burgers secretly run the global economy. It is important because it demonstrates the minimum viable magic of a good proxy:

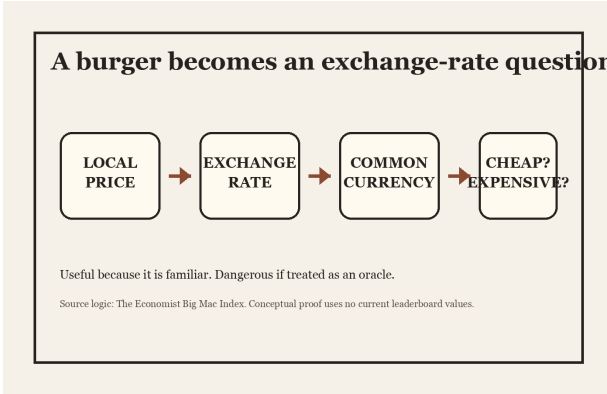


Figure 1: A conceptual diagram showing how a local burger price can become an exchange-rate question.

Chapter 6 — When Measures Fight Back

The most dangerous moment in the life of a measure is when people begin caring about it.

That sounds unfair. A measure exists to be used. If nobody cares, it is just a lonely number in a report. But the moment a measure becomes a target, people adapt. They optimize. They polish. They route around it. They learn the rules of the scoreboard and then, with touching human consistency, begin playing the scoreboard rather than the game.

This is the broad lesson associated with Goodhart's law. In its monetary-policy origins, Charles Goodhart's point concerned the tendency of statistical regularities to break down when used for control. Later writers popularized the sharper formulation that when a measure becomes a target, it stops being a good measure. ²

This is not a mystical curse. It is incentives.

A school judged mainly by test scores begins to produce test-score behavior. A company judged mainly by response time may produce fast and useless responses. A city chasing a ranking may choose visible reforms over important ones. A model

lab chasing a benchmark may become excellent at the benchmark and less obviously excellent at the messy job people think the benchmark represents.

The measure has fought back.

Not always through fraud. That matters. Target-chasing exists on a spectrum. At one end is real improvement: a team sees a metric and improves the thing being measured. In the middle is narrowing: people improve the measured slice while neglecting the unmeasured rest. At the darker end is gaming, manipulation or outright fraud.

LIBOR belongs near the dark end.

For years, LIBOR was one of the most important numbers in finance. It stood for London Interbank Offered Rate, but the full name matters less than the role. LIBOR was used as a reference rate for an enormous range of financial products: loans, derivatives, mortgages and contracts whose users did not wake up each morning thinking about benchmark governance. A small movement in the benchmark could matter because so much money was priced from it.

The benchmark depended on submissions. Banks contributed estimates of borrowing rates; the submissions were used to calculate a published rate. That made LIBOR look like a technical plumbing fixture. In reality, it was also a place where human incentives could enter. Traders with positions linked to the rate had reasons to want it nudged. Submitters had discretion. The number was trusted because it looked institutional, repeated and precise. That trust was exactly what made manipulation valuable.

This is the part that makes LIBOR such a clean example. The manipulation did not require changing the weather, building a fake skyscraper or convincing millions of shoppers to buy the wrong lipstick. It required influencing a contribution to a benchmark. The human action was small compared with the economic surface area of the number. That asymmetry is the danger.

A benchmark can look like infrastructure while still depend-

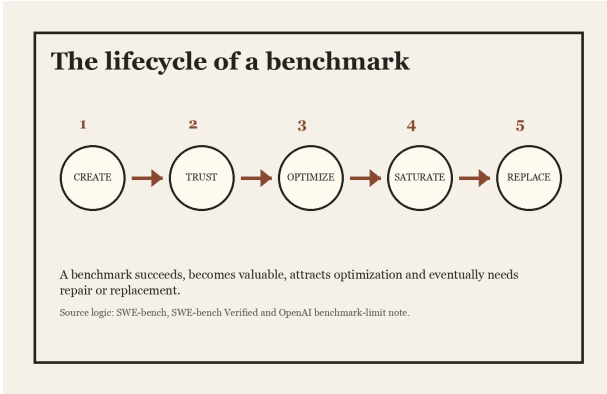


Figure 2: A five-step lifecycle diagram showing benchmark creation, trust, optimization, saturation and replacement.

ing on behavior. The public sees the published rate. Market participants see contracts. Traders see exposure. Submitters see a process. Regulators see governance. The same number sits at the intersection of all those views. If one group can benefit from a tiny movement that another group treats as neutral plumbing, the benchmark has become a pressure point.

Notes

Note 1 — Data and methodology for the Big Mac index; The Economist; github.com/TheEconomist/big-mac-data [back](#)

Note 2 — Goodhart's law / measure-target risk; Charles Goodhart / later economics and policy usage; DOI: 10.1007/978-1-349-17295-5_4 [back](#)